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The Allstate Corporation, 2019

In July 2019, Allstate, the United States' number-three property and casualty (P/C) insurer, released its second-quarter earnings, which reported first-half revenues of $22.1 billion, up 11.4% year-over-year. Shareholders cheered the top-line growth, but, P/C premiums had only grown 6.2%, considerably lower than Allstate's top competitors, GEICO and Progressive. Indeed, since the beginning of the global financial crisis, Allstate had grown net premiums earned by just 2.1% per year, compared to 7.6% at Progressive and 9.9% at GEICO (see **Exhibit 1**). As a result, Allstate had fallen from the number-two writer of private passenger auto insurance to number four, losing market share each year (see **Exhibits 2 and 3**). There was, however, some sign that Allstate was returning to faster growth, with net premiums earned up 5.3% in 2018.

During this period, CEO Thomas Wilson had taken steps to reignite growth, concerned primarily with building Allstate's direct-sales business, expanding its range of usage-based products and telematics solutions, and focusing more on insuring smaller consumer devices. Still, growth remained laggard, despite high-profile acquisitions of the direct online specialist Esurance in October 2011 and SquareTrade, a provider of extended warranty contracts for consumer devices, in November 2016. Nothing seemed to ward off challenges from GEICO and Progressive.

Meanwhile, rapid advances in ridesharing and autonomous vehicle technology promised to disrupt the entire auto insurance industry. Allstate was early to recognize this shift and had begun investing heavily in new technologies and partnering with researchers and ridesharing operators to prepare for the coming disruptions. Wilson had also set up a new business unit called Arity that would oversee Allstate's efforts at usage-based telematics and to collect and process data on drivers to improve underwriting models.

Allstate was positioning itself for a future in which the insurance industry would look fundamentally different. Still, Wilson needed to convince shareholders that Allstate's return to growth would continue. The growth of Esurance and SquareTrade had been somewhat promising. Should he focus on building the direct online segment, competing with GEICO and Progressive? Or, should he continue to grow SquareTrade and the services segment, accepting that Allstate auto insurance was a declining business? The future of Allstate was hanging in the balance.

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Company History

Allstate was founded in 1931 as a subsidiary of Sears. With the strong financial support of its parent and the distribution that an expanding national retail chain provided, Allstate grew rapidly to become the number-two property and casualty insurance provider in the United States. In the process, it established its own tied distribution channel of exclusive Allstate agents and one of the best brand names in the industry with its slogan, "You are in Good hands with Allstate," first introduced in 1950.[1]

Beginning in the 1960s, Sears increased its commitment to building its financial services portfolio (the "stocks to socks" era), but enthusiasm for the strategy waned in the late 1980s, as problems in its core department store business emerged. As a result, many of its investments in financial services were divested, including Allstate, which became independent in 1995 under the leadership of ex-Sears executive, CEO Jerry Choate. Choate cut overhead and focused the company on its more profitable businesses, before handing over control to new CEO Edward Liddy in 1998.

Liddy, also an ex-Sears executive, identified four key strategic imperatives for Allstate: more sophisticated pricing of its insurance products; improving claims efficiency; building direct distribution; and expanding its financial services portfolio.

During the nine years of Liddy's tenure, progress varied on each of these imperatives. On the pricing issue, Allstate moved from a simple two-tiered system in 1998 to 384 tiers with more than 1,500 price levels. This allowed for much more effective pricing of risk. By 2007, Allstate's systems were second only to Progressive's.

The company also invested heavily in improving claims, moving from one of the worst to one of the best loss ratios (ratio of total claims payments to premiums earned) amongst the top ten players in the industry. However, some of its approaches raised controversy, largely as a result of a leaked McKinsey report that advised Allstate to, "pay the minimum necessary" and, "play hardball with [claimants] that seek more."[2]

The move to direct distribution proved more difficult. Liddy aimed to have 5% of sales come from the direct channel by 2005, but by 2007, little progress had been made. Despite the fact that Allstate charged the same price for all its channels and compensated its agents for direct sales in their territories, Allstate's tied agents, once a key source of Allstate's success, resisted the move fiercely.

The promise of using Allstate's agents to distribute a wider range of financial products to Allstate's 17 million customers also proved a challenge. Some blamed the problems on a lack of training; others on the quality of the products. Whatever the reason, by 2005, only 10% of Allstate's customers purchased Allstate Financial products while State Farm, USAA, and Farmers had penetration rates closer to 20%.[3]

In response to these challenges, Allstate invested heavily in marketing and raised its marketing budget from less than $150 million in 2001 to $350 million in 2006, second only to GEICO's budget of $500 million.

On balance, investors were happy with Allstate's progress, especially the increase in profitability in 2006 after the heavy hurricane losses of 2005. An equity analyst for Bear Stearns commented that Allstate's favorable auto loss trends "continue to defy doubters who believe these trends are unsustainable."[4] Allstate remained its top insurance pick.

On January 1, 2007, Thomas J. Wilson, previously President and COO, became CEO, and Edward Liddy became Chairman. Wilson had joined Allstate in 1995 and had run both the financial service and

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insurance sides of Allstate. Wilson saw the building of long-term client relationships as Allstate's key challenge. He felt that Allstate had to get away from the industry norm of selling products and instead turn to focus on solutions for clients.[5] He was committed to, "reinventing protection and retirement" as a way of serving customers better and differentiating Allstate in the marketplace.

2007: Innovative Products, High Lifetime-Value Customers

One of Wilsons' early moves was to cut back on catastrophe insurance across California, Texas, the East Coast, and Gulf regions due to the high disaster rate in these areas.[6] Recent catastrophic events, such as Hurricane Katrina and Rita, had cost Allstate $5 billion in losses, and Wilson concluded that, "the markets haven't really worked."[7] Instead, Allstate would expand its coverage in alternative vehicle segments. "If it has wheels, we ought to insure it," Wilson said. The company also intended to build its share in the subprime auto segment with Allstate Blue.[8]

Additionally, Wilson signaled that Allstate would no longer participate in the auto insurance price wars that had plagued the industry for so long and made underwriting profits elusive (see **Exhibit 4**). Instead, the company would offer several levels of coverage and let the customer decide—the "Your Choice Auto" offering. Your Choice provided three levels of protection: a standard level and two upgraded levels, called gold and platinum, priced at 7% and 15% more.[9] Drivers who upgraded from standard to gold received accident forgiveness and $100 off their deductible. Platinum drivers got a safe driving bonus of up to 5% and forgiveness for more accidents.[10] Wilson stated, "If everyone sells the same product, what would consumers focus on? Price. When you start to offer them something different, a lot of consumers value products that give them choices in their coverage."[11]

Allstate also intended to focus on "high lifetime-value customers," leaving the price shoppers to its competitors.[12] "If you win on price, you tend to lose them on price," Wilson said. "We are not going after all the price shoppers."[13]

In the first half of 2007, Allstate raised prices an average of 3.8% in 15 states. In contrast, industry-leader State Farm cut rates in every state except Rhode Island, with cuts exceeding 9% in four states. Progressive and GEICO followed.[14] In the second quarter of 2007, Allstate's new auto insurance applications dropped 4.8%. Wilson commented, "It's clearly a very competitive market. Some of that is due to price decreases other people have taken, which we've chosen not to take." He went on, "We are still very competitive in the high lifetime-value customers. We will not trade off profits for growth."[15] Wilson maintained that Allstate's innovative products, such as Your Choice Auto, would win new customers even as competitors' rates fell.[16] Industry observers' views were mixed. Morningstar Inc.'s analyst Jim Ryan said he had no problems with Allstate's strategy of focusing on high-value customers and refusing to get pulled into price wars.[17] Tim Wagner, Nebraska's insurance director, countered, "Insurance is a commodity. You can disguise it with a lot of bells and whistles. The reality is people are buying insurance based on price and service.''[18]

For the fiscal year, revenues grew 2.7% to $36.8 billion, while operating profits declined 10.1% to $7.0 billion, and net income dropped 7.2% to $4.6 billion. Auto and homeowners policies-in-force fell 1.1% to 28.3 million (see **Exhibit 5**).

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2008: The Financial Crisis

In April 2008, Liddy retired and Wilson became Chairman, CEO, and President. Allstate announced a new $2 billion share repurchase program to be completed by March 31, 2009, much in line with the $2 billion-a-year pace of an earlier repurchase program.[19]

On May 13, 2008, the company also announced a major new drive into financial services. For almost a decade, Allstate had been trying to expand its financial services portfolio but had only achieved limited success. This new drive focused on a much simplified product offering,[20] centered on "ClearTarget" funds and backed by a significant marketing push.[21] Wilson commented, "There's a bunch of middle-income people who don't have enough money, and Social Security is not going to fill the gap. People . . . need help preparing for retirement, and in a world of uncertainty like we have today, we create security, and as we do this, Allstate is growing."[22] The funds, managed by New York-based Alliance Bernstein L.P., charged annual fees of 1.25% of assets, with another 1% if customers elected for the income guarantee. Greg Carlson, an analyst with Morningstar Inc. in Chicago, described the fees as "above average," though he said, "There are some more expensive funds."[23] Jim Fish, the executive director of the National Association of Professional Allstate Agents, commented, "Allstate agents have so much to do on the [property and casualty] side that some of them don't want to bother with the financial side. But [the new funds] will be an easier thing for them to sell because they don't have to be the ones studying recommendations and all the mutual funds."[24]

The ClearTarget funds launched just as the global financial crisis broke. Lehmen Brothers collapsed in September 2008 and, by the end of the year, *Crain's Chicago Business* noted, "The Allstate "ClearTarget" funds are on the scrap heap, victims of the financial collapse that also erased 42% of the Northbrook-based insurer's book value last year, forced it to halve its dividend and pushed its shares into free-fall."[25] Allstate's investment portfolio fell to $96 billion by the end of the year, a decline of $23 billion (see **Exhibit 6**).

In addition to financial challenges, natural catastrophes affected Allstate's balance sheet. Disaster losses during the first nine months of 2008—from tornadoes and hailstorms in the first two quarters to hurricanes in the third quarter—made it the second most expensive year in Allstate's 77-year history. Only the $5 billion in losses from Hurricane Katrina in 2005 cost more.[26] Wilson said the company, "could not outrun the market" and posted a net $1.1 billion loss in the fourth quarter and a net loss of $1.7 billion for 2008.[27] Allstate suspended its share buyback plan.[28] "We thought that it was prudent to preserve capital, and prudent to look ahead to 2009," said Wilson, who said he saw more dark clouds on the economic horizon next year.[29] Despite the cost of insurance claims, Allstate's relatively small financial unit was responsible for the majority of the $1.7-billion net loss, raising cries from Wall Street to scrap the business, which even in good years only produced single-digit returns.[30]

The number of Allstate auto policies-in-force fell 2.2% in 2008, as consumers bought fewer cars and shopped for cheaper insurers. By contrast, low-cost rival GEICO's increased by 8%. The percentage of Allstate customers renewing their auto policies slipped to 88.9%, the worst in seven years.[31] "We are losing too many, we think because they are not happy," Wilson said.[32]

Revenue for 2008 fell 20% to $29.4 billion, operating income dipped 137% to -$2.6 billion, and net income fell 136% to -$1.68 billion. Auto and homeowners policies-in-force fell 2.8% to 27.5 million.

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2009-2010: Falling Customer Retention

Analysts continued to clamor for Allstate to drop its financial services arm, but Wilson resisted, remaining committed to turning the company's 15,000 agents into retirement-savings planners for its 18 million, mainly middle-income American customers.[33] However, the financial unit's activities were trimmed. A number of products were cut, along with 1,000 jobs, to shave $90 million, or 20%, from annual expenses. The unit also began looking for a new president after James Hohmann, hired by Allstate from Indiana-based life insurer Conseco Inc. in late 2006, left amid comments from Wilson that the unit needed a new direction.[34]

Despite the loss of insurance customers, Allstate sought homeowners' rate increases of 13.3% on average in 16 states during the second quarter of 2009. "Frequency [of accidents] is up, and we are looking to reflect that in pricing," noted Wilson.[35]

Allstate also began a program to rationalize its distribution channel, with the goal of shifting business to larger agents. Wilson declared, "Our goal is to have fewer, larger agencies that provide a more consistent experience for our customers."[36] Wilson also committed to building Allstate's direct business. In 2008, only $500 million of the company's $26.9 billion in property and casualty premiums came from the direct channel. However, the channel was growing at 25% per year, and Wilson said that half of its new auto insurance customers first made contact through Allstate's website, rather than its network of exclusive agents.[37] Still, around 87% of Allstate's website prospects ended up closing the deal with an agent.[38]

Revenues recovered to $32 billion in 2009, up 7.7%. Operating income was $1.8 billion, up 167%, and, net income was $854 billion, up 151%. Meanwhile, auto and homeowners policies-in-force continued to fall, down 3.0% to 26.7 million.

In early 2010, Wilson reaffirmed his commitment to increasing the customer retention rate.[39] To drive this effort, Wilson hired three new top executives from outside the company.[40] Joseph Lacher Jr., from insurer Travelers Cos., was hired to run Allstate's core auto and homeowners' insurance unit, and was charged with reversing the company's loss of market share to Progressive and GEICO.[41] Matthew Winter, formerly of American International Group Inc., was made the head of Allstate's life insurance unit, with a charge to revitalize Allstate's stagnant retirement products.[42] General Motors Corp. alumnus Mark LaNeve was assigned responsibility for Allstate's marketing strategy to help fight GEICO's highly successful campaigns based on a cheeky lizard and Progressive's equally impactful advertisements featuring the much-loved Flo.[43]

Already, some analysts questioned Wilson's future. "If we don't see some success, then you could see some clamoring for change at the CEO slot," said Meyer Shields, insurance analyst at Stifel Nicolaus & Co. in Baltimore.[44]

Meanwhile Allstate's policy-renewal rate in the third quarter fell to its lowest level since the depths of the recession, and its policy count dropped for the 11th straight quarter. Wall Street reacted swiftly to the resulting earnings shortfall, knocking Allstate stock down 7% (see **Exhibit 7**).[45] In a statement, Allstate said customer retention was affected by rate hikes in some big states, including California and New York.[46] Wilson explained in his third-quarter earnings call with analysts, "We need to move [customer loyalty] up, because if we move it up, retention will go up…If retention goes up, growth will go up, and that'd be good for all of us."[47]

As Allstate raised prices, GEICO and Progressive gained share at Allstate's expense (see **Exhibits 2 and 3**).[48] Nevertheless, Wilson resisted price cuts, emphasizing service in an effort to preserve Allstate's

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industry-leading profit margins.[49] This focus on service did not show up in industry data. In a 2009 J.D. Power & Associates study on auto insurance claims handling, Allstate scored worse than many of its major rivals, including Progressive, GEICO, and State Farm.[50]

To try to stem the flow of customer defections, Allstate boosted advertising spending (see **Exhibit 8**). Its new "Mayhem" campaign attempted to convince customers that it was worth paying a premium for Allstate because, unlike "cut-rate insurers," Allstate would cover claimants when something bad happened. The higher advertising spending cut into profit margins but did not have much impact on market share.[51] Bijan Moazami, an analyst at FBR Capital Markets & Co. in Arlington, Virginia, wrote "Allstate's advertising campaign may show results at some point, but [the third quarter] had the costs without the benefits."[52]

2010 revenues were down 1.9% at $31.4 billion, while operating profit dropped 14.2% to $1.5 billion, and net income raised slightly to $928 million. Auto and homeowners policies-in-force fell 3.2% to 25.8 million.

2011-2012: Shareholders Push for Change

The Allstate 2001 Annual General Meeting was a tempestuous affair. During the re-election of directors, 31% of shareholders voted against Wilson. "Ultimately, it's pretty hard for [management] to last with that kind of opposition…Unless you tell a pretty convincing story next year, it's going to be pretty hard," Charles Elson, chairman of the John L. Weinberg Center for Corporate Governance at the University of Delaware commented.[53] Meyer Shields, an analyst at Stifel Nicolaus & Co., noted, "I think [he has] probably a year, maybe two at the most."[54]

To placate its shareholders, Allstate held an "investor day" presentation, its first in over a decade. As part of the program, top management laid out a three-year plan for rebuilding return on equity to 14%. One observer noted the plan depended largely on rate hikes in homeowner's policies.[55]

To make matters worse, in July 2011, Joseph Lacher, president of the home and auto insurance unit, was fired after being overheard making comments that blamed Thomas Wilson for the company's poor performance.[56] Jay Gelb, an analyst at Barclays Capital, told clients in a research note that Mr. Lacher was considered an "agent of change" who could have turned around the operations.[57] Allstate shares fell 5% on the day of Lacher's departure. Meyer Shields told clients the exit deepened what he called Allstate's "disarray."[58]

Criticism came from all sides. Fearing backlash from its 15,000 agents, Allstate failed to discount their direct channel offerings, and critics pointed to this as a crucial reason for the channel's stagnation.[59] "To me, that was the fatal flaw from the get-go," said Jeffrey Lewis, an Allstate vice-president from 1999 to 2004, who helped launch the effort. Mr. Lewis, now retired, explained that customers expected a discount for buying online.[60] GEICO and Progressive met these expectations; Allstate didn't. As a result, in the intervening 11 years, while Allstate's annual online sales had grown $700 million, GEICO's had surged by $10 billion.[61] The resultant fall-off in Allstate's market share now threatened Allstate's second-place in the auto insurance market. Allstate's share had dropped from 11.3% to 10.4% over the last five years while GEICO had jumped two points to 8.7% and Progressive had climbed to 7.9%.[62]

Meanwhile, State Farm Insurance Cos., the largest car and home insurer in the US and a mutual company owned by its policyholders, was consistently rated better for claims handling and service

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than Allstate (see **Exhibit 9**). Its prices were also lower. State Farm's auto insurance business was still growing despite an online presence even smaller than Allstate's.[63]

Finally, to accelerate direct sales, Wilson announced that Allstate would acquire online auto insurer Esurance Insurance Services Inc. and its sister company, the online insurance broker Answer Financial, for $1 billion. Formed in 1999, Esurance wrote $839 million of premiums in 2011, about 0.5% of the total market and 2% of the direct market, similar in size to Allstate's direct business. GEICO accounted for 36% of the direct market at the time, USAA held 17%, and Progressive Direct, 14%. Answer Financial wrote $395 million of premiums in 2010 and sourced from 20 carriers. Allstate declared that it would continue to operate the acquisitions as separate brands so that it could appeal to a full range of customers (see **Exhibit 10**). Wilson aimed to capture both "personal-touch loyalists" who wanted the attention of an agent and "self-directed" consumers who preferred to do online comparison shopping.[64] Wilson commented, "What I'm basically doing is trying to box in GEICO and Progressive." The acquisition was completed in October 2011.

In the meantime, Allstate began restructuring its captive-agent force, which accounted for more than 90% of its $26 billion in property and casualty insurance premiums, by culling low performers and pushing for consolidation to reduce costs and improve service. Executives said the number of agencies could fall by as much as 25%.[65] Allstate also reduced base commissions for many agents, making more of their pay contingent on reaching sales goals set by the company.[66] The company insisted its total pool of money set aside to pay agents would remain unchanged.[67]

Many agents were upset with the changes. They complained that management was sending out "threat letters," warning them that they would be terminated if they didn't start hitting sales targets.[68] Upset agents warned that seasoned veterans were striking out on their own, and said smaller agencies were being unfairly blamed for the company's problems.[69] Observers argued that Allstate hadn't explained adequately why bigger agents were better.[70] "The morale today is probably at its lowest that I've ever seen," said Jim Fish, executive director of the Gulfport, Mississippi-based National Association of Professional Allstate Agents, a frequent critic of the company over many years.[71] In a statement, the company commented, "This is a great time to build an Allstate agency, and we have had no problems retaining high performers or attracting talented entrepreneurs to our company."[72]

In 2011, revenues rose 4.0% to $32.6 billion, while operating profit fell 8.5%to $1.38 billion, and net income fell 15.1% to $788 billion. As a result of the Esurance acquisition, auto and homeowners policies-in-force rose slightly, up 0.4% to 25.9 million.

Expanding margins for Allstate's homeowner's insurance unit helped push earnings past analysts' estimates in the last quarter of 2011 and the first quarter of 2012. Allstate's insured areas also managed to avoid major natural disasters. As a result, the share price rose 45% between October 2011 and May 2012.[73] In turn, Wilson's popularity with shareholders soared, and he was re-elected chairman with 97% of the vote during the May 2012 Annual General Meeting.[74] His change in fortune was ascribed to a number of factors, including the acquisition of Esurance, the acknowledgement of a need for more flexibility in auto insurance pricing, and attempts to mend fences with agents. He had also agreed to improve Allstate's corporate governance and executive pay practices.[75] "They're moving in a logical direction, and they've had some good luck along the way," said analyst Josh Stirling of Sanford C. Bernstein & Co. in New York.[76]

In 2012, revenues were only up 2.0% at $33.3 billion, but industry-leading margins drove operating income up 166% to $3.7 billion and net income up 193% to $2.3 billion. In response, the stock price rose 46.6% in 2012, compared with a 26.3% gain for the Standard & Poor's 500 Financial Index (see **Exhibit 7**).[77]

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This change in financial fortunes did not alleviate concerns that Allstate had challenges ahead. The number of Allstate-brand auto policies-in-force continued to decline for the 22nd consecutive quarter, falling 3.8% year-on-year. Despite a 5.7% growth in the Encompass brand (sold through independent agents) and a 31% increase in Esurance direct sales, total auto and homeowners policies-in-force were down 1.7% to 25.5 million.

2013-2015: More Challenges

In the beginning of 2013, several auto insurers were criticized for using socioeconomic factors like income and education in underwriting models. Allstate was singled out for having the greatest price discrepancy based on these factors. In a particularly glaring example, the Consumer Federation of America found that a receptionist in Baltimore was charged $3,292 for an annual policy, while an executive in the city was charged $1,248, despite the fact that both women were 30 years old with the same car, annual mileage, and minimum liability. In fact, the receptionist had a 10-year perfect driving record, while the executive had recently been responsible for a crash. However, the former only had a high-school diploma and had been without coverage for 45 days, while the latter had a master's degree.[78] Despite the scandal, Allstate Brand delivered an 8.3% underwriting margin in the first quarter of 2013.

Meanwhile, Allstate faced the challenge of competing with Progressive in usage-based telematics, which Progressive had dominated since the 2008 introduction of Snapshot. To address the challenge, Allstate introduced a new product called Drivewise in April 2013. Drivewise was an installable device that measured driving performance along a number of metrics such as mileage, braking, speed, and time of use. Customers could opt-in by installing the device into their vehicle's diagnostic port. To encourage adoption, Allstate assured its customers that their premiums would not go up because of the data, but could go down.[79]

In 2014, Allstate launched a telematics offering for its Esurance Brand. Called DriveSafe, the program was targeted specifically at teen drivers and took a number of steps to alert parents to distracted and risky driving by sending messages when the device sensed speeding or sudden stops. The new offering was cheered by industry observers; however, there were concerns that only one-third of eligible Allstate customers signed up for the device.[80]

In order to increase telematics usage, in 2014, Allstate created an integrated Drivewise mobile app that eliminated the need for a plug-in device.[81] The following year, Allstate began offering new incentives in the Drivewise app to convince customers to join. The app helped customers find the cheapest gas stations nearby, and customers could earn points for driving performance that could be used for deals on merchandise or gift cards.[82] It remained unclear whether these incentives boosted participation in the telematics program.

Meanwhile, since 2013, Allstate had begun addressing the fall in policies-in-force by pushing to sell more of its branded products through independent, rather than exclusive agencies, and to capture a greater share of the direct market.[83] This was also reflected in the company's annual reports, as it began to group policies-in-force in the Allstate Protection segment by brand within broad categories: auto, homeowners, other personal lines, commercial lines, and other business lines (see **Exhibit 11**). The shift in strategy was not enough to prevent GEICO from passing Allstate in July 2013 to become the nation's number-two writer of private passenger auto insurance.[84] That same month, Allstate pared much of its life insurance business, when it sold Lincoln Benefit Life Co. to the London-based Clive Cowdery and Resolution Life Holdings Inc. for $600 million. Lincoln Benefit had accounted for roughly 15% of Allstate Financial's total premiums for 2012.[85]

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Despite a shift in channel strategy, increased focus on telematics products, and, in January 2015, the introduction of the fastest claims payment process in the industry – Fast Mobile e-Payment – Allstate continued to lose market share. The situation deteriorated further after Allstate's second-quarter earnings call, when it was announced that the company paid out more in claims and costs than it collected in premiums – the first time since the fourth quarter of 2012. In turn, Allstate's stock price dropped 10%, erasing $2.9 billion in market capitalization. In an effort to improve profitability, Wilson announced that Allstate would raise premiums and cut advertising spend, when its main competitors were doing the opposite.[86]

2016-2018: New Directions

In 2016, Allstate set-up a new business called Arity that would oversee all telematics at Allstate, researching ways to improve adoption and collecting data on drivers and selling analytic products to third parties. Based at Allstate's Innovation Hub in Chicago, Illinois, Arity also promised to add value for drivers through capabilities such as breakdown prediction and diagnostics. Arity President Gary Hallgren described the start-up as, "the center of a technological revolution that's transforming the entire driving experience. [87]

Elsewhere, Allstate was redefining itself as a more data and tech focused company. In December 2016, Allstate committed to joining a research project with the Intelligent Systems Laboratory at Stanford University (SISL) to better understand and prepare for the impact that autonomous vehicles would have on the insurance industry. There was a clear sense that major changes were underway. Allstate's Director of Innovation and Research, Sunil Chintakindi, remarked, "We see an autonomous vehicle future more as a matter of when, not if, and we want to be prepared to best serve our customers no matter who or what is behind the wheel."[88]

The following year, in September 2017, Allstate introduced an AI-powered chat bot called Amelia that assisted customer service representatives through calls. Amelia helped reduce training time and the need for agents to be specialized by state, since the chat bot could quickly find information on how regulations differed in each state. By 2018, Amelia could handle more than 250,000 conversations per month and had substantially reduced call times and the number of calls that required a follow-up.[89]

In 2018, Allstate announced that it would provide Uber drivers with commercial auto coverage, beginning with drivers in Illinois, New Jersey, and Wisconsin.[90] Three months later, in June 2018, Allstate launched a new insurance product in New Jersey called Milewise. With Milewise, customers paid a daily premium and a per-mile rate, a coverage option that was particularly attractive to customers who didn't drive frequently or long distances. Milewise customers could set monthly targets and see how much each trip cost them in a mobile app.[91] By mid-2019, Milewise was available in 12 states and Washington, D.C.

Even with these advances, Allstate continued to lose market share, and, in April 2018, Progressive overtook Allstate to become the number-three writer of personal passenger auto policies.[92]

The news was not all bad, however. Two years earlier, in November 2016, Allstate announced that it was acquiring SquareTrade, a provider of extended warranty for consumer devices, for $1.4 billion At the time of acquisition, SquareTrade had 25 million policies-in-force, mostly covering laptops, mobile devices, and other small consumer appliances.[93] By 2018, Allstate had grown SquareTrade to over 68 million policies-in-force, and premiums earned from its Service Businesses segment had almost doubled over the same period, from $580 million in 2016 to $1.1 billion in 2018. These numbers were further boosted by the 2018 acquisition of InfoArmor, a provider of identity-theft protection.[94] Still, the

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rapid growth of this segment was no replacement for declining auto insurance policies. In 2018, the Service Businesses segment accounted for 65.1% of all policies-in-force but only 3.3% of total revenues (see **Exhibit 12**).

Situation in 2019

In the first half of 2019, Allstate had improved on a number of metrics since the first half of 2018, improving revenues by 11.4% and net income by 24.4%. However, property and casualty premiums grew much slower – 6.2% - and the segment's combined ratio had climbed from 91.0 to 93.8 (see **Exhibit 13**).[95] Nonetheless, the return to more rapid growth was rewarded by investors, as Allstate's stock price rose 25% in the first half of 2019.[96]

Still, Allstate had gone from the number-two writer of private passenger auto insurance to number four in just five years, and its loss of market share didn't show signs of slowing down. Wilson had decided to increase ad spending in 2018, after several years of decline, but remained well behind GEICO and Progressive.

Meanwhile, Allstate was repositioning itself to prepare for the coming impact of autonomous vehicles on the insurance industry. It had invested heavily in research and new data-driven telematics technologies and had increasingly focused on its Service Businesses segment as a source of growth. Wilson's vision for the future of Allstate was clear, but it remained to be seen whether these strategic shifts would pay off.

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Exhibit 1a Allstate Financials, 1996-2007

Financial Data ($'millions)	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007
Earned premiums and annuity rev.	**19,702**	**20,106**	**20,826**	**21,735**	**24,076**	**24,427**	**25,654**	**26,981**	**28,061**	**29,088**	**29,333**	**29,099**
% growth, year-over-year	*NA*	*2.1%*	*3.6%*	*4.4%*	*10.8%*	*1.5%*	*5.0%*	*5.2%*	*4.0%*	*3.7%*	*0.8%*	*-0.8%*
Investment and other income	4,597	4,843	5,053	5,224	5,058	4,438	3,925	5,168	5,875	6,295	6,463	7,670
Total revenues	**24,299**	**24,949**	**25,879**	**26,959**	**29,134**	**28,865**	**29,579**	**32,149**	**33,936**	**35,383**	**35,796**	**36,769**
Operating expenses												
Policy benefits	16,800	15,751	16,016	17,257	19,585	20,936	21,191	21,129	21,462	25,193	20,196	21,937
% of premiums earned	*85.3%*	*78.3%*	*76.9%*	*79.4%*	*81.3%*	*85.7%*	*82.6%*	*78.3%*	*76.5%*	*86.6%*	*68.9%*	*75.4%*
Policy acquisition costs	2,266	2,789	3,021	3,282	3,458	3,462	3,694	4,058	4,465	4,721	4,757	4,704
% of premiums earned	*11.5%*	*13.9%*	*14.5%*	*15.1%*	*14.4%*	*14.2%*	*14.4%*	*15.0%*	*15.9%*	*16.2%*	*16.2%*	*16.2%*
Other operating expenses	2,207	1,937	2,066	2,313	2,756	2,742	2,761	3,001	3,040	2,997	3,033	3,103
Total operating expenses	**21,273**	**20,477**	**21,103**	**22,852**	**25,799**	**27,140**	**27,646**	**28,188**	**28,967**	**32,911**	**27,986**	**29,744**
Operating profit	**3,026**	**4,472**	**4,776**	**4,107**	**3,335**	**1,725**	**1,933**	**3,961**	**4,969**	**2,472**	**7,810**	**7,025**
Underwriting pre-tax margin	2,975	4,367	4,629	3,939	3,065	1,432	1,645	3,681	4,661	2,142	7,453	6,692
% of premiums earned	*15.1%*	*21.7%*	*22.2%*	*18.1%*	*12.7%*	*5.9%*	*6.4%*	*13.6%*	*16.6%*	*7.4%*	*25.4%*	*23.0%*
Net income after tax	**2,075**	**3,105**	**3,294**	**2,720**	**2,211**	**1,158**	**1,134**	**2,705**	**3,181**	**1,765**	**4,993**	**4,636**

Source: Casewriter, based on data from Capital IQ and Annual Reports.

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Exhibit 1b Allstate Financials, 2007-2018

Financial Data ($'millions)	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018
Earned premiums and annuity rev.	**29,099**	**28,862**	**28,152**	**28,125**	**28,180**	**28,978**	**29,970**	**31,086**	**32,467**	**33,582**	**34,678**	**36,513**
% growth, year-over-year	*-0.8%*	*-0.8%*	*-2.5%*	*-0.1%*	*0.2%*	*2.8%*	*3.4%*	*3.7%*	*4.4%*	*3.4%*	*3.3%*	*5.3%*
Investment and other income	7,670	532	3,861	3,275	4,474	4,337	4,537	4,153	3,186	2,952	3,846	3,302
Total revenues	**36,769**	**29,394**	**32,013**	**31,400**	**32,654**	**33,315**	**34,507**	**35,239**	**35,653**	**36,534**	**38,524**	**39,815**
Operating expenses												
Policy benefits	21,937	24,087	22,489	22,573	23,567	21,618	21,106	22,112	23,598	24,804	24,542	25,466
% of premiums earned	*75.4%*	*83.5%*	*79.9%*	*80.3%*	*83.6%*	*74.6%*	*70.4%*	*71.1%*	*72.7%*	*73.9%*	*70.8%*	*69.7%*
Policy acquisition costs	4,704	4,679	4,754	4,034	4,233	3,884	4,002	4,135	4,364	4,550	4,784	5,222
% of premiums earned	*16.2%*	*16.2%*	*16.9%*	*14.3%*	*15.0%*	*13.4%*	*13.4%*	*13.3%*	*13.4%*	*13.5%*	*13.8%*	*14.3%*
Other operating expenses	3,103	3,273	3,007	3,281	3,470	4,125	4,387	4,341	4,081	4,106	4,658	5,974
Total operating expenses	**29,744**	**32,039**	**30,250**	**29,888**	**31,270**	**29,627**	**29,495**	**30,588**	**32,043**	**33,460**	**33,984**	**36,662**
Operating profit	**7,025**	**(2,645)**	**1,763**	**1,512**	**1,384**	**3,688**	**5,012**	**4,651**	**3,610**	**3,074**	**4,540**	**3,153**
Underwriting pre-tax margin	6,692	(2,996)	1,371	1,145	1,019	3,322	4,645	4,329	3,318	2,779	4,205	2,821
% of premiums earned	*23.0%*	*-10.4%*	*4.9%*	*4.1%*	*3.6%*	*11.5%*	*15.5%*	*13.9%*	*10.2%*	*8.3%*	*12.1%*	*7.7%*
Net income after tax	**4,636**	**(1,679)**	**854**	**928**	**788**	**2,306**	**2,280**	**2,850**	**2,171**	**1,877**	**3,189**	**2,252**

Source: Casewriter, based on data from Capital IQ and Annual Reports.

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Exhibit 2 Top US Insurers, Net Premiums, 2017

Top Property and Casualty Writers			Top Homeowners Writers		
Company	**$'thousand**	**% share**	**Company**	**$'thousand**	**% share**
State Farm Group	64,604,365	11.5%	State Farm Group	17,556,871	18.6%
Berkshire Hathaway	46,006,795	8.2%	Allstate Ins Group	7,957,403	8.4%
Allstate Ins Group	30,560,792	5.4%	Liberty Mutual Ins Cos	6,471,114	6.9%
Liberty Mutual Ins Cos	28,625,043	5.1%	USAA Group	5,703,741	6.0%
Progressive Ins Group	27,134,228	4.8%	Farmers Ins Group	5,617,990	6.0%
Travelers Group	24,464,954	4.4%	Travelers Group	3,547,478	3.8%
USAA Group	19,607,612	3.5%	Nationwide Group	3,290,890	3.5%
Nationwide Group	18,871,828	3.4%	Amer Family Ins Group	3,045,589	3.2%
Farmers Ins Group	14,263,415	2.5%	Chubb INA Group	2,776,827	2.9%
Amer Intl Group	14,188,850	2.5%	Erie Ins Group	1,596,490	1.7%
Top 10	**288,327,882**	**51.3%**	**Top 10**	**57,564,393**	**61.0%**
Others	**273,847,539**	**48.7%**	**Others**	**36,773,694**	**39.0%**
Total	**562,175,421**	**100.0%**	**Total**	**94,338,087**	**100.0%**

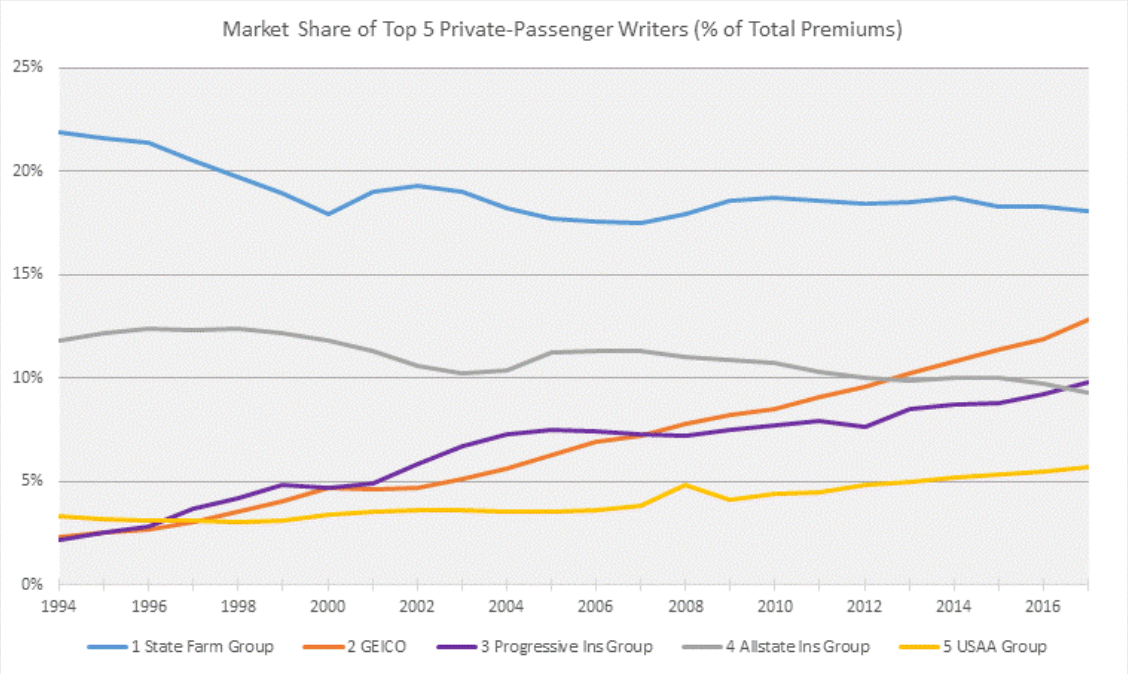
Top Private Passenger Auto Writers			Top Commercial Auto Writers		
Company	**$'thousand**	**% share**	**Company**	**$'thousand**	**% share**
State Farm Group	41,817,416	18.1%	Progressive Ins Group	3,178,656	8.8%
Berkshire Hathaway	29,596,404	12.8%	Travelers Group	2,263,886	6.3%
Progressive Ins Group	22,786,034	9.8%	Liberty Mutual Ins Cos	1,733,726	4.8%
Allstate Ins Group	21,430,405	9.3%	Zurich Finl Svcs NA Group	1,690,000	4.7%
USAA Group	13,154,939	5.7%	Nationwide Group	1,678,785	4.6%
Liberty Mutual Ins Cos	11,585,976	5.0%	Old Republic Ins Group	1,278,020	3.5%
Farmers Ins Group	10,357,497	4.5%	Berkshire Hathaway Ins	1,184,554	3.3%
Nationwide Group	7,341,476	3.2%	Auto-Owners Ins Group	858,647	2.4%
Travelers Group	4,396,705	1.9%	Chubb INA Group	826,718	2.3%
Amer Family Ins Group	4,381,962	1.9%	AmTrust Group	720,774	2.0%
Top 10	**166,848,814**	**72.1%**	**Top 10**	**15,413,766**	**42.6%**
Others	**64,618,335**	**27.9%**	**Others**	**20,745,155**	**57.4%**
Total	**231,467,149**	**100.0%**	**Total**	**36,158,921**	**100.0%**

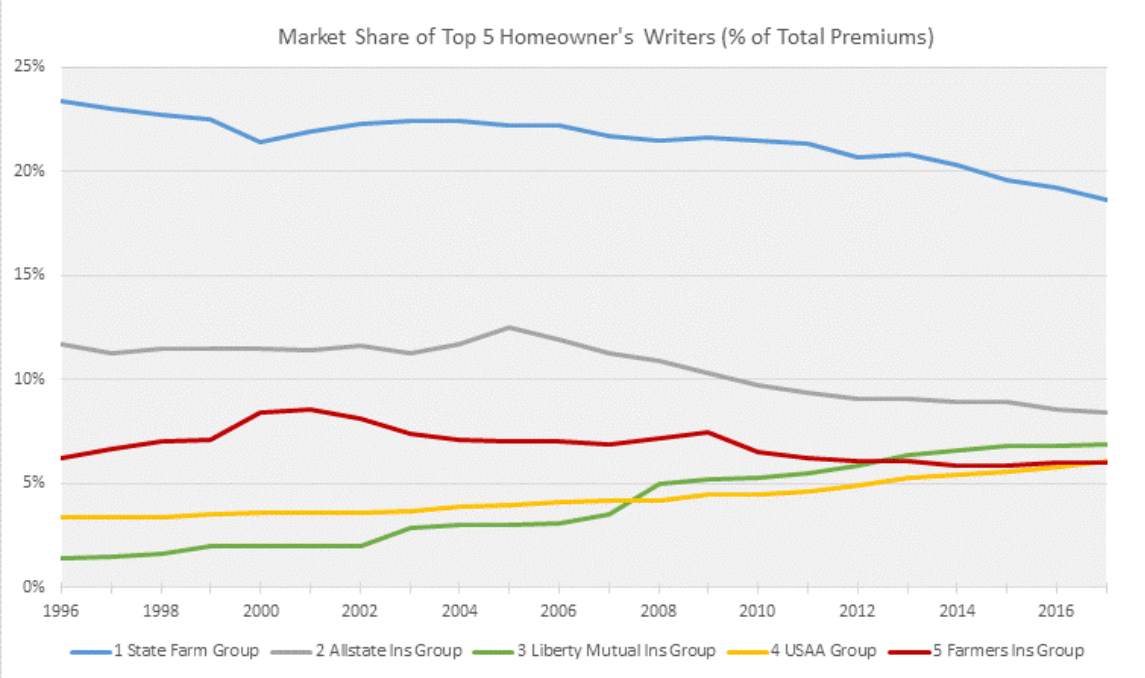
Source: Casewriter, based on data from *Best's Review*.

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Exhibit 3 Market Share of Top Auto and Homeowner's Writers

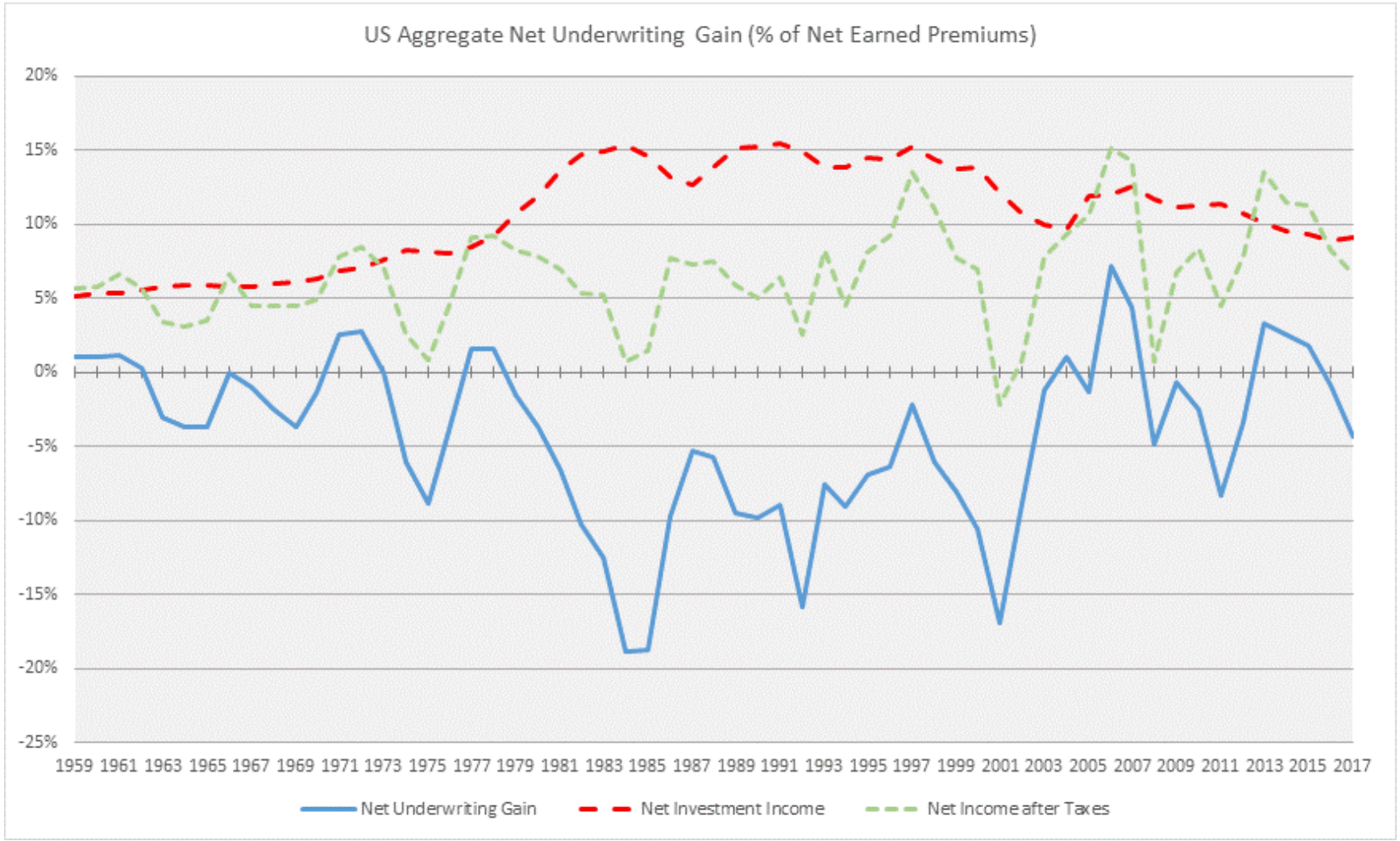




Source: Casewriter, based on data from *Best's Review*.

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Exhibit 4 US Property and Casualty Industry Profitability



Source: Casewriter, based on data from A.M. Best and ISO.

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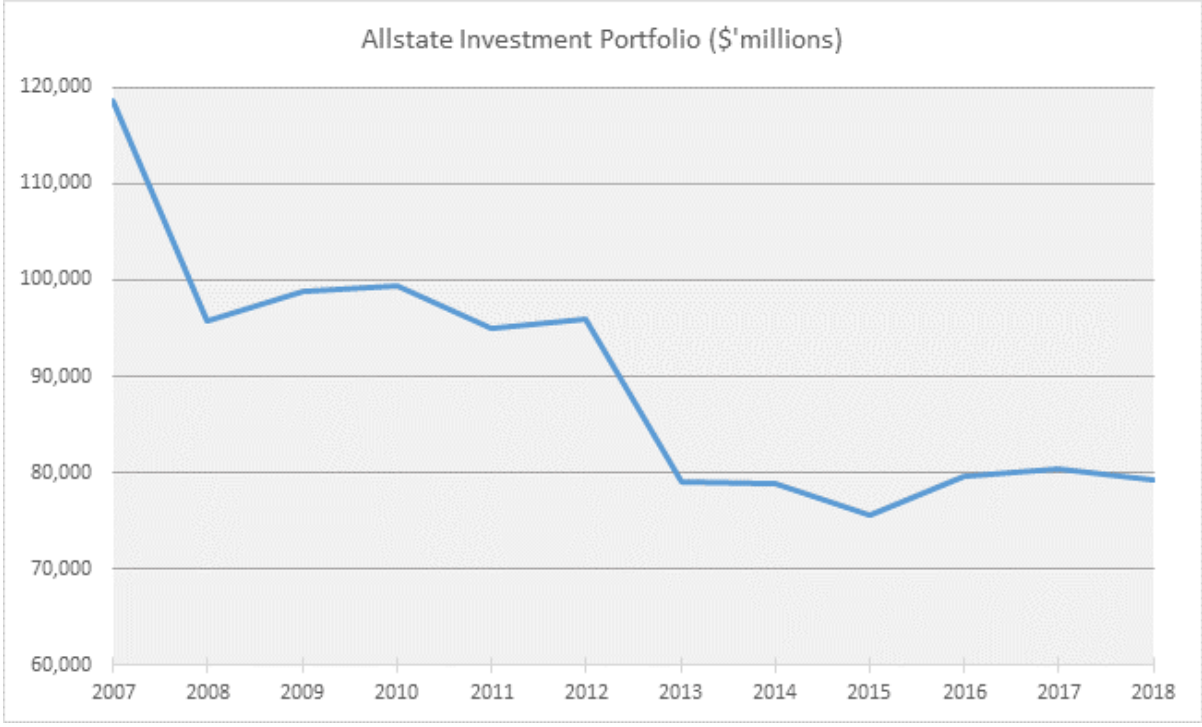
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Exhibit 5 Auto and Homeowners Policies-in-Force, 2005-2012

Policies-in-Force (thousands)	2005	2006	2007	2008	2009	2010	2011	2012
Allstate								
Standard Auto	17,613	18,084	18,254	17,924	17,744	17,484	17,213	16,929
Non-Standard Auto	1,110	943	829	745	719	640	571	508
Homeowners	7,828	7,836	7,570	7,255	6,973	6,690	6,369	5,974
Encompass								
Standard Auto	1,144	1,124	1,103	1,090	859	689	673	708
Non-Standard Auto	99	85	56	39	20	5	-	-
Homeowners	545	527	484	446	371	314	306	327
Esurance								
Standard Auto	-	-	-	-	-	-	786	1,029
Total	**28,339**	**28,599**	**28,296**	**27,499**	**26,686**	**25,822**	**25,918**	**25,475**

Source: Casewriter, based on Annual Reports.

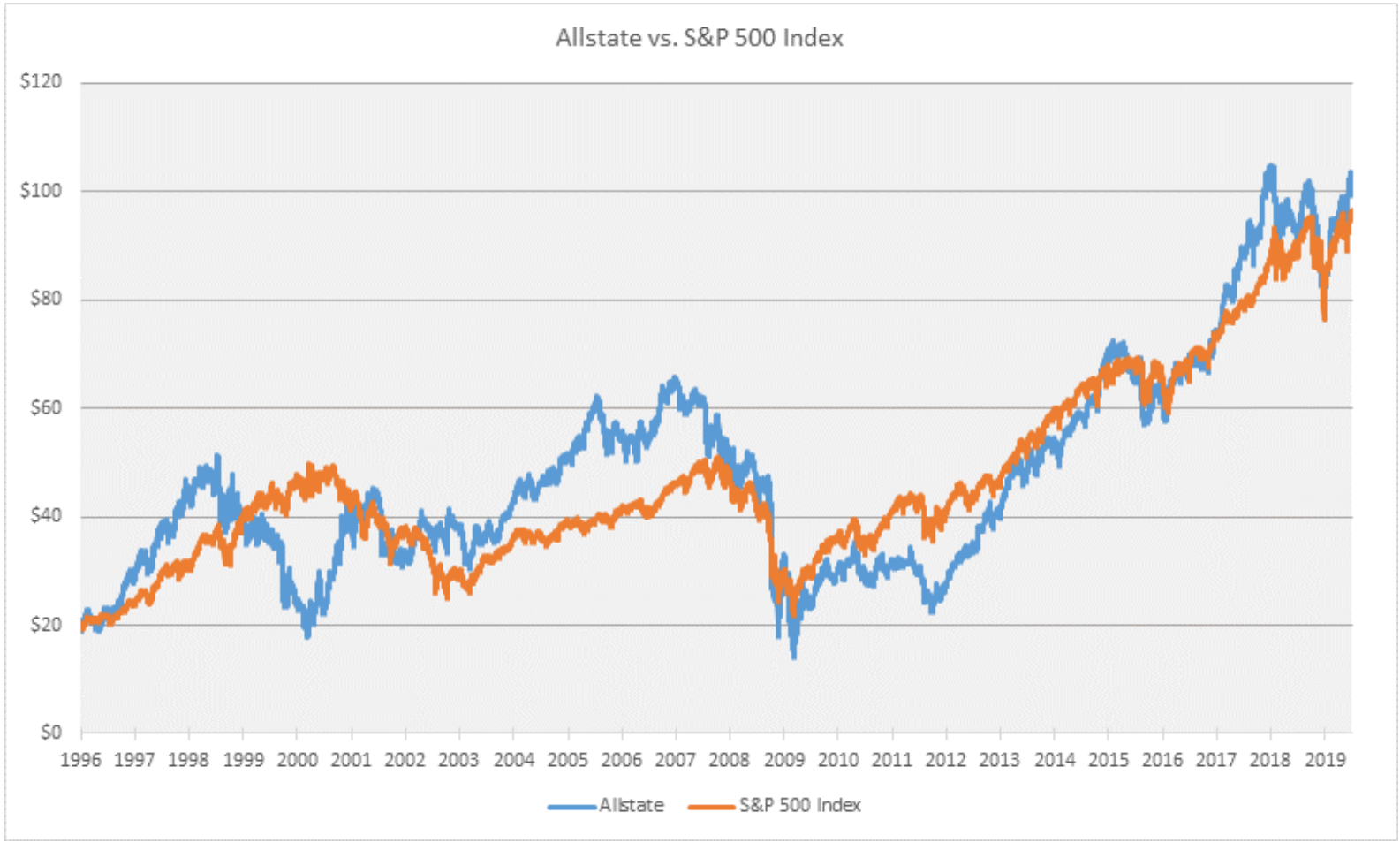
Exhibit 6 Allstate Investment Portfolio, 2007-2018



Source: Casewriter, based on data from Capital IQ.

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Exhibit 7 Allstate Stock Performance



Source: Casewriter, based on data from Capital IQ.

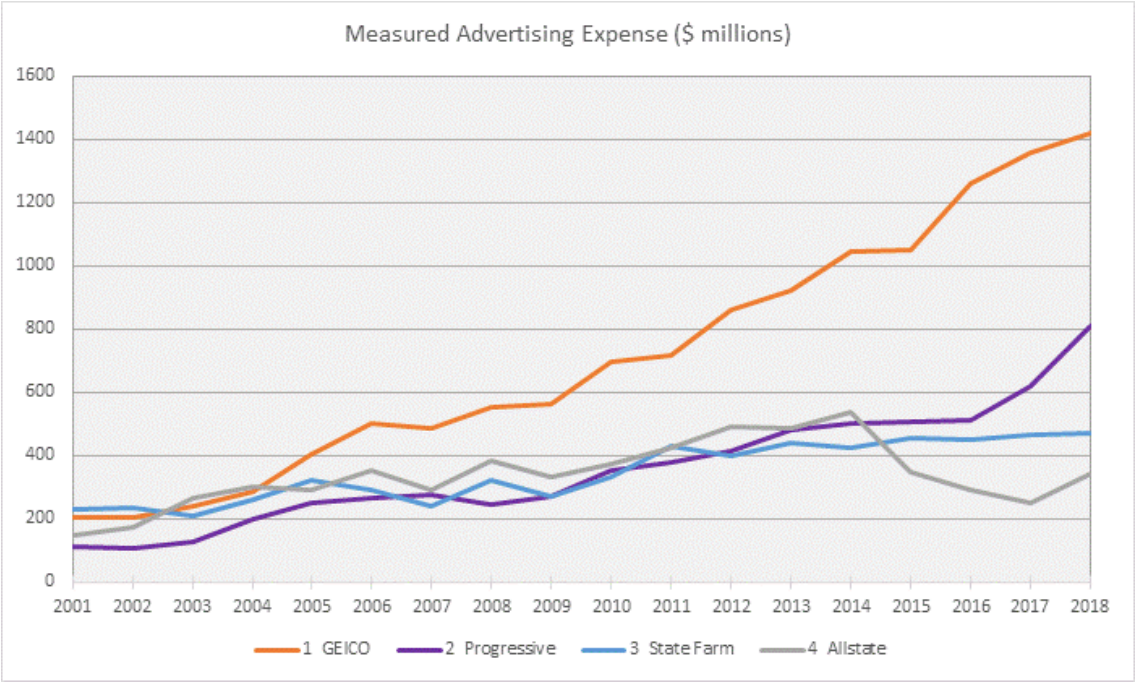
Note: S&P 500 Index is rebased to Allstate's stock price on January 2, 1996 - $20.19.

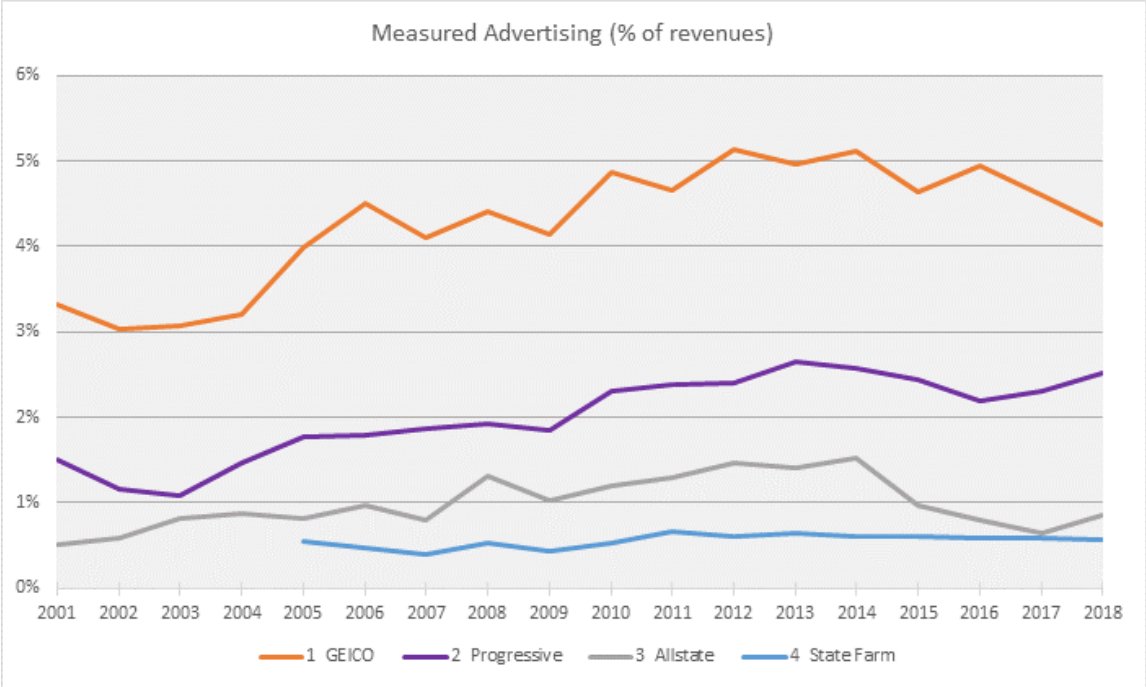
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Exhibit 8 Measured Advertising Expense

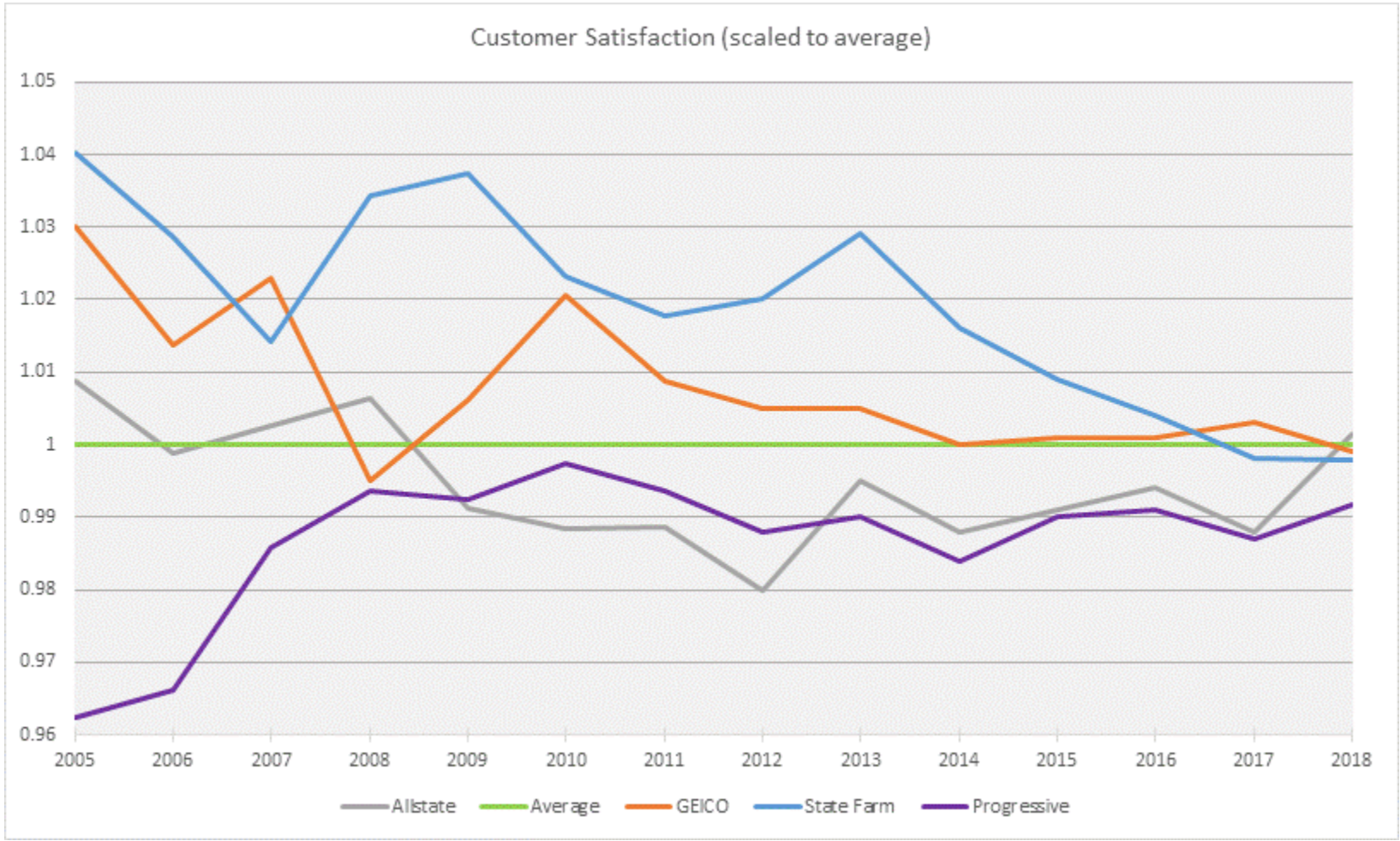




Source: Casewriter, based on data from Annual Reports and *Ad $ Summary*, 2005-2018.

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Exhibit 9 Customer Satisfaction

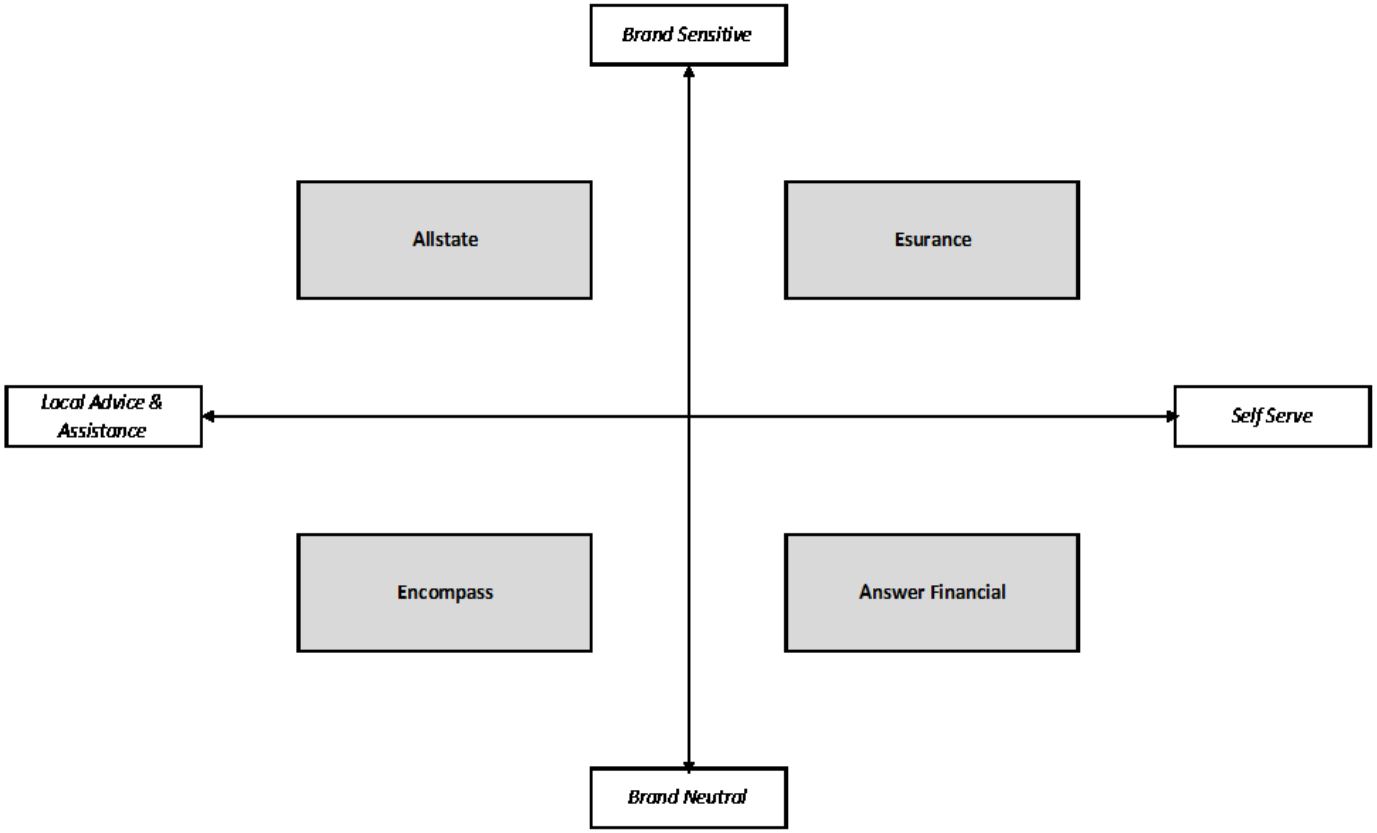


Source: Casewriter, based on J.D. Power's U.S. Auto Insurance Studies.

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Exhibit 10 Allstate Protection Brand Strategy



Source: Casewriter, adopted from Allstate 2018 Annual Report.

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Exhibit 11a Allstate Protection Results: Earned Premiums

Earned premiums ($'millions)	2013	2014	2015	2016	2017	2018
Auto	**18,449**	**19,344**	**20,410**	**21,425**	**21,878**	**22,970**
Allstate brand	16,578	17,234	18,191	19,031	19,676	20,662
Esurance brand	1,245	1,455	1,562	1,610	1,636	1,771
Encompass brand	626	655	657	623	566	537
Homeowners	**6,613**	**6,904**	**7,136**	**7,257**	**7,310**	**7,517**
Allstate brand	6,183	6,415	6,613	6,736	6,811	7,025
Esurance brand	-	3	19	42	68	90
Encompass brand	430	486	504	479	431	402
Other personal lines	**1,629**	**1,662**	**1,692**	**1,700**	**1,750**	**1,808**
Allstate brand	1,527	1,551	1,577	1,592	1,649	1,716
Esurance brand	2	5	7	8	8	8
Encompass brand	100	106	108	100	93	84
Commercial lines	**456**	**476**	**510**	**506**	**495**	**655**
Allstate brand	456	476	510	506	495	655
Other business lines	**471**	**542**	**561**	**580**	**-**	**-**
Allstate brand	471	542	561	580	-	-
Total earned premiums	**27,618**	**28,928**	**30,309**	**31,307**	**31,433**	**32,950**
Allstate brand	25,215	26,218	27,452	28,445	28,631	30,058
Esurance brand	1,247	1,463	1,588	1,660	1,712	1,869
Encompass brand	1,156	1,247	1,269	1,202	1,090	1,023

Source: Casewriter, based on data from Annual Reports.

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Exhibit 11b Allstate Protection Results: Underwriting Income

Underwriting income ($'millions)	2013	2014	2015	2016	2017	2018
Auto	**668**	**604**	**23**	**172**	**1,298**	**1,681**
Allstate brand	-	-	-	266	1,331	1,681
Esurance brand	-	-	-	(65)	(37)	(11)
Encompass brand	-	-	-	(29)	4	11
Homeowners	**1,422**	**1,097**	**1,431**	**1,075**	**658**	**457**
Allstate brand	-	-	-	1,098	725	472
Esurance brand	-	-	-	(59)	(20)	(14)
Encompass brand	-	-	-	36	(47)	(1)
Other personal lines	**198**	**150**	**175**	**160**	**124**	**94**
Allstate brand	-	-	-	166	113	91
Esurance brand	-	-	-	-	1	-
Encompass brand	-	-	-	(6)	10	3
Commercial lines	**41**	**9**	**(40)**	**(110)**	**(19)**	**(87)**
Allstate brand	-	-	-	(110)	(19)	(87)
Other business lines	**51**	**40**	**33**	**27**	**51**	**49**
Allstate brand	-	-	-	27	51	49
Answer Financial	**(19)**	**(13)**	**(8)**	**(7)**	**(1)**	**(7)**
Total underwriting income	**2,361**	**1,887**	**1,614**	**1,317**	**2,111**	**2,187**
Allstate brand	2,551	2,235	1,812	1,447	2,201	2,206
Esurance brand	47	(259)	(164)	(124)	(56)	(25)
Encompass brand	(218)	(76)	(26)	1	(33)	13
Answer Financial	(19)	(13)	(8)	(7)	(1)	(7)

Source: Casewriter, based on data from Annual Reports.

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Exhibit 11c Allstate Protection Results: Policies-in-Force

Policies-in-Force (thousands)	2013	2014	2015	2016	2017	2018
Auto	**21,422**	**22,130**	**22,464**	**21,755**	**21,462**	**22,094**
Allstate brand	19,362	19,916	20,326	19,742	19,580	20,104
Esurance brand	1,286	1,424	1,415	1,391	1,352	1,488
Encompass brand	774	790	723	622	530	502
Homeowners	**6,433**	**6,481**	**6,594**	**6,452**	**6,421**	**6,520**
Allstate brand	6,077	6,106	6,174	6,099	6,088	6,186
Esurance brand	-	10	32	58	79	95
Encompass brand	356	365	388	295	254	239
Other personal lines	**-**	**-**	**-**	**4,359**	**4,352**	**4,419**
Allstate brand	-	-	-	4,214	4,223	4,295
Esurance brand	-	-	-	47	44	46
Encompass brand	-	-	-	98	85	78
Commercial lines	**-**	**-**	**-**	**285**	**245**	**231**
Allstate brand	-	-	-	285	245	231
Other business lines	**-**	**-**	**-**	**768**	**-**	**-**
Allstate brand	-	-	-	768	-	-
Total PIF	**-**	**-**	**-**	**33,619**	**32,480**	**33,264**

Source: Casewriter, based on data from Annual Reports.

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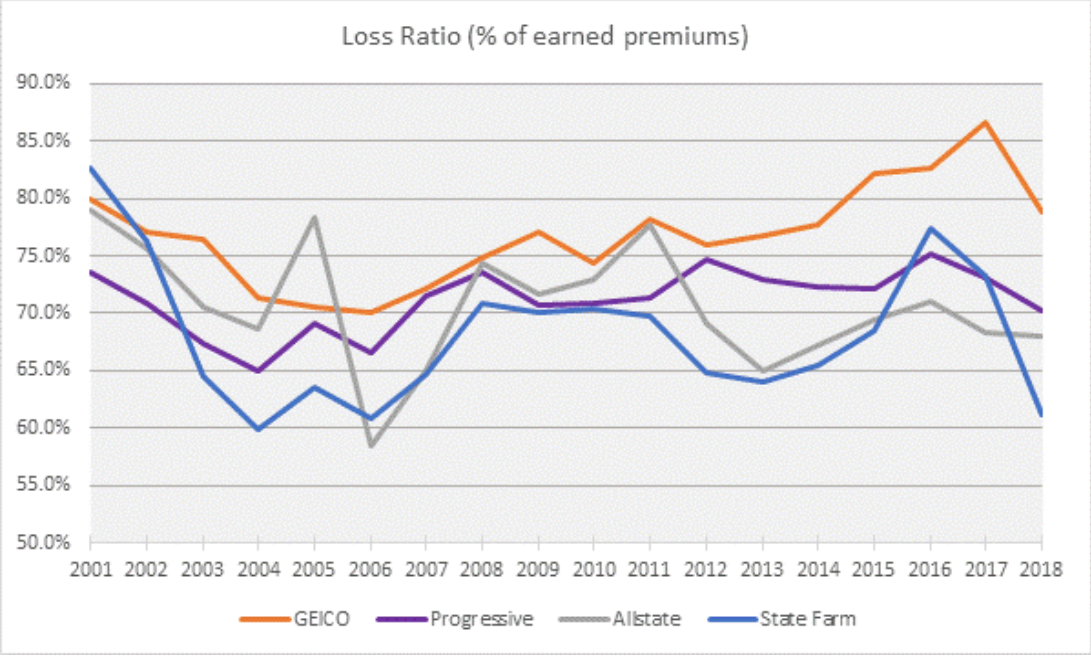
Exhibit 12 Revenue and Policies-in-Force (PIF) by Segment, 2018

Segment	% of total revenues	% of total PIF
Allstate Protection	86.5%	29.2%
Service Businesses	3.3%	65.1%
Allstate Life	4.8%	1.8%
Allstate Benefits	3.0%	3.7%
Allstate Annuities	2.4%	0.2%
Total	**100.0%**	**100.0%**

Source: Casewriter, based on data from Allstate 2018 Annual Report.

Note: Allstate Protection total revenues calculated by casewriter.

Exhibit 13a Loss Ratio

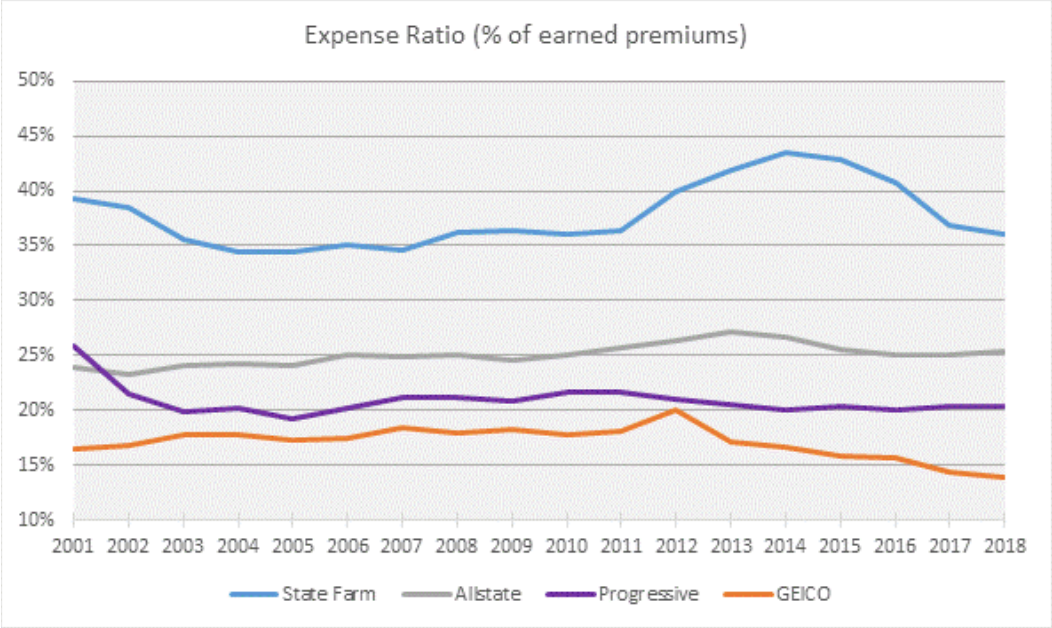


Source: Casewriter, based on data from Annual Reports and Capital IQ.

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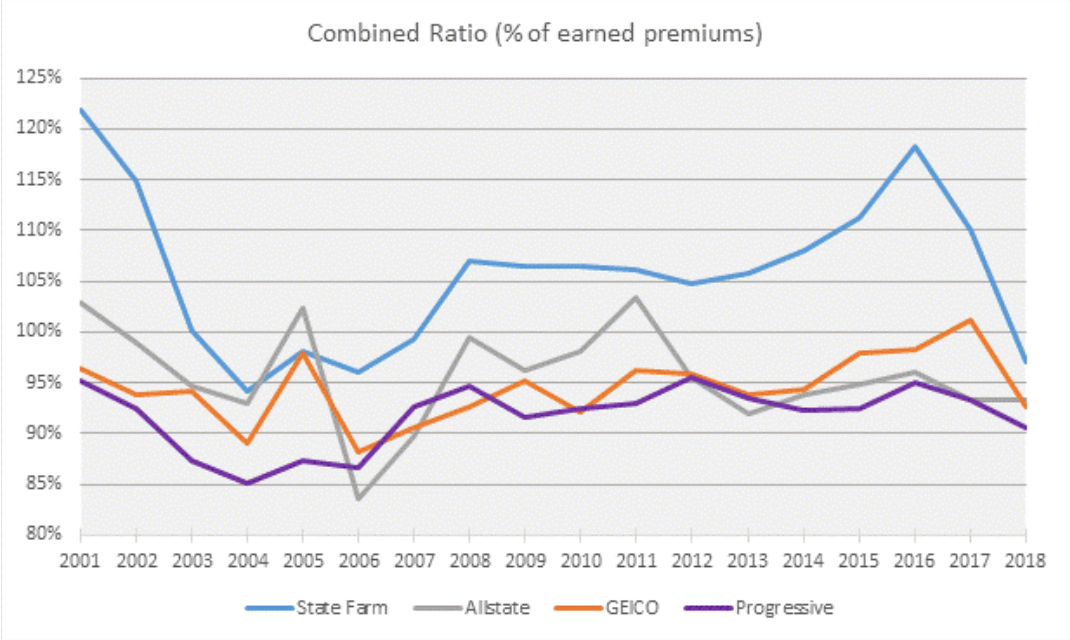
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Exhibit 13b Expense Ratio



Source: Casewriter, based on data from Annual Reports and Capital IQ.

Exhibit 13c Combined Ratio



Source: Casewriter, based on data from Annual Reports and Capital IQ.

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